

■ FORM 4 INSIDER CLUSTER STRATEGY

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Executive Summary

Strategy	Form 4 Insider Clusters
Capital Allocation	\$325.42
Positions Selected	4
Total Allocated	\$288.03
Cash Remaining	\$37.39
Lookback Period	100 days
Min Confidence	65%

Selected Positions

#1. CBRL - Cracker Barrel Old Country Store, Inc.

Sector	Consumer Cyclical
Market Cap	\$677M
Price	\$30.39
Insider Signals	3 signals (Quality: 3.0/3.0)
Signal Breakdown	Politicians: 3, Directors: 0, Officers: 0
Institutional Validation	STRONG INSTITUTIONAL SUPPORT
Confidence	103.2% (adjusted from 86.0%)
Position Size	2 shares = \$60.79
Hold Period	14 days

Analysis:

CONSENSUS: Signal quality is high due to 3 independent politicians buying (top tier in hierarchy), trades are recent (12 days), and entry price aligns with current price, indicating no missed move. Multiple politicians coordinating strengthens conviction.

■ Institutional Validation:

■ INSTITUTIONAL VALIDATION: STRONG INSTITUTIONAL SUPPORT

■ INSTITUTIONS BUYING (6):

- ALLIANCEBERNSTEIN L.P.: +19.5% increase (237,741 shares added)
- BlackRock Fund Advisors: +10.7% increase (126,158 shares added)
- FRANKLIN RESOURCES INC: +13737.1% increase (923,409 shares added)

■ INSTITUTIONS SELLING (4):

- BIGLARI CAPITAL CORP.: -34.8% decrease (311,775 shares removed)
- CHARLES SCHWAB INVESTMENT MANAGEMENT INC: -12.0% decrease (74,852 shares removed)

■ CONFIDENCE BOOST: +20%

■ **Bull Case:** Politician insider buying reflects genuine confidence in CBRL's turnaround or growth potential, supported by positive earnings momentum and menu innovations that could attract customers and improve financials. Small market cap offers significant upside if sentiment improves.

■ **Bear Case:** Despite strong insider conviction, the company operates in the consumer cyclical restaurant sector, which can be sensitive to economic downturns or shifts in consumer spending. Insider trades, while informative, are not guarantees of future performance. There might be underlying fundamental issues not immediately visible, or broader market conditions could overshadow any individual stock's positive signals.

#2. IEP - Icahn Enterprises L.P.

Sector	Industrials
Market Cap	\$4715M
Price	\$7.86
Insider Signals	1 signals (Quality: 3.0/3.0)
Signal Breakdown	Politicians: 1, Directors: 0, Officers: 0
Institutional Validation	STRONG INSTITUTIONAL SUPPORT
Confidence	102.0% (adjusted from 85.0%)
Position Size	10 shares = \$78.55
Hold Period	14 days

Analysis:

CONSENSUS: Highest quality signal from a single source: Carl Icahn (Politician-tier insider) purchasing more of his own company. This is not promotional officer buying but a substantial vote of confidence from the founder and controlling shareholder, indicating he believes the stock is significantly undervalued. The moderate timing (24 days old) is offset by the 0% price move since purchase, meaning the market opportunity may still be present.

■ Institutional Validation:

■ INSTITUTIONAL VALIDATION: STRONG INSTITUTIONAL SUPPORT

■ INSTITUTIONS BUYING (10):

- GEODE CAPITAL MANAGEMENT, LLC: +21.2% increase (89,520 shares added)
- CITADEL ADVISORS LLC: +28.9% increase (80,971 shares added)
- GOLDMAN SACHS GROUP INC: +68.5% increase (89,960 shares added)

■ INSTITUTIONS SELLING (2):

- Horizon Kinetics LLC: -5.2% decrease (111,022 shares removed)
- Raymond James Financial Services Advisors, Inc.: -26.0% decrease (38,252 shares removed)

■ CONFIDENCE BOOST: +20%

■ **Bull Case:** Carl Icahn, a legendary activist investor, is doubling down on his own conglomerate at current prices, signaling a strong belief in the underlying asset value and a potential turnaround. His personal capital is aligned with shareholders. The lack of price movement post-purchase suggests the market has not yet priced in this vote of confidence, offering a potential entry point before wider recognition.

■ **Bear Case:** While the insider quality is high, it's a single signal, lacking coordination from multiple parties. The transaction occurred 24 days ago, which is outside the preferred recent window, suggesting the market may be slow to react or has already factored it in (despite the 0% price change). IEP is a complex conglomerate, and its performance is tied to various underlying investments, which can be volatile or face sector-specific headwinds. Carl Icahn's confidence, while significant, does not guarantee future performance.

#3. BRO - Brown & Brown, Inc.

Sector	Financial Services
Market Cap	\$27472M
Price	\$80.47
Insider Signals	2 signals (Quality: 3.0/3.0)
Signal Breakdown	Politicians: 2, Directors: 0, Officers: 0
Institutional Validation	STRONG INSTITUTIONAL SUPPORT
Confidence	94.8% (adjusted from 79.0%)
Position Size	1 shares = \$80.47
Hold Period	21 days

Analysis:

DeepSeek: While the politician buys indicate high-quality, genuine confidence and coordination, the 31-day lag reduces signal freshness. The unchanged price offers entry opportunity but also suggests lack of immediate catalyst. Adjusted confidence to reflect these offsets. | Gemini: The signal quality is exceptionally high due to two independent politicians buying, indicating genuine confidence and strong coordination. While the 31-day lag reduces signal freshness, the 'WHO' (politicians) and 'COORDINATION' factors are paramount, outweighing the age of the trade. The unchanged price offers an attractive entry point, suggesting the market has not yet fully priced in this strong insider conviction.

■ Institutional Validation:

■ INSTITUTIONAL VALIDATION: STRONG INSTITUTIONAL SUPPORT

■ INSTITUTIONS BUYING (8):

- Capital World Investors: +81.1% increase (7,827,992 shares added)
- PRINCIPAL FINANCIAL GROUP INC: +13.4% increase (1,821,229 shares added)
- STATE STREET CORP: +5.3% increase (660,005 shares added)

■■ INSTITUTIONS SELLING (2):

- MORGAN STANLEY: -17.9% decrease (1,026,909 shares removed)
- Allspring Global Investments Holdings, LLC: -19.5% decrease (666,174 shares removed)

■ CONFIDENCE BOOST: +20%

■ **Bull Case:** Two independent politicians bought at current levels, showing strong conviction in the stock's undervaluation or prospects. The price has not yet moved, offering an attractive entry point before potential upside. // Two independent politicians buying at current levels demonstrates strong conviction in the stock's undervaluation or future prospects. The price has not yet moved, offering an attractive entry point before the market potentially recognizes and reacts to this high-quality insider confidence.

■ **Bear Case:** The insider signal is over a month old, and the lack of price movement may indicate stagnant momentum or absence of near-term catalysts. No supporting buys from directors or officers reduces confirmation from operational insiders. // The 31-day lag means the insider information is not fresh, and the market has had ample time to react without doing so. The absence of price movement could indicate a lack of immediate catalysts or that the market does not perceive these insider buys as a significant bullish signal.

#4. EFC - Ellington Financial Inc.

Sector	Real Estate
Market Cap	\$1296M
Price	\$13.65
Insider Signals	1 signals (Quality: 3.0/3.0)
Signal Breakdown	Politicians: 1, Directors: 0, Officers: 0
Institutional Validation	STRONG INSTITUTIONAL SUPPORT
Confidence	93.0% (adjusted from 77.5%)
Position Size	5 shares = \$68.23
Hold Period	14 days

Analysis:

CONSENSUS: Signal from a politician (highest quality hierarchy) with recent trade (13 days ago) and no price change, indicating entry opportunity not missed. However, only one signal limits coordination strength.

■ Institutional Validation:

■ INSTITUTIONAL VALIDATION: STRONG INSTITUTIONAL SUPPORT

■ INSTITUTIONS BUYING (9):

- BlackRock Inc.: +6.7% increase (906,604 shares added)
- VANGUARD GROUP INC: +7.2% increase (449,074 shares added)
- Invesco Ltd.: +17.6% increase (331,934 shares added)

■ INSTITUTIONS SELLING (2):

- Ranger Global Real Estate Advisors, LLC: -42.7% decrease (1,242,258 shares removed)
- MORGAN STANLEY: -14.2% decrease (125,118 shares removed)

■ CONFIDENCE BOOST: +20%

■ **Bull Case:** Politician insider purchase reflects genuine confidence in the company's dividend sustainability and financial stability. The monthly dividend declaration supports income appeal, and the lack of price movement suggests potential upside if insider optimism translates to market recognition.

■ **Bear Case:** While the quality of the insider is high, this is a single signal, lacking coordination from multiple independent parties, which could strengthen the conviction. General market volatility, interest rate fluctuations, and specific risks associated with the mortgage REIT sector (e.g., credit risk, prepayment risk) could negatively impact EFC's performance regardless of insider sentiment.

■ Trading Instructions

1. **MANUAL APPROVAL REQUIRED** - Review each position carefully
2. Approve or reject each position when prompted

3. Only approved positions will be eligible for trading
4. Place limit orders at market price or better for approved positions
5. Set calendar reminders for hold period expiration
6. Monitor insider activity weekly for changes
7. Rebalance next Sunday based on new Form 4 clusters